Economic Complexity – Homework 2
Inter-industry labour flows
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1. Earlier research mainly measured relatedness between industries through their geographical concentration or input–output relationships, while much less was known about how workers move between industries. The authors argue that frequent job switches between two industries suggest that they require similar skills, so mapping these movements could reveal a network of skill relatedness that traditional measures might miss. Using this network, they investigate whether workers tend to move between only a few industry pairs, how stable these connections are over time, and whether workers in different occupations follow similar patterns. Finally, they examine whether the structure of these connections helps explain which industries grow or emerge in a region.
2. Building on Neffke et al. (2017), Hane-Weijman et al. (2022) construct measures of occupational relatedness and complexity for the Swedish labour market and examine how they relate to regional employment growth. They find that relatedness mattered more before the 2008 global financial crisis, while the role of complexity became more favourable afterward. Elekes et al. (2024) use inter-industry labour flows to construct local industry networks and investigate how their structure, including their robustness to the sequential removal of industries, relates to regional economic resilience.
3. Previous research has shown that inter-industry labour flows reveal skill relatedness, but less is known about whether these patterns differ between immigrant and native-born workers. This matters because immigrants may face additional barriers to transferring their skills across industries, and these barriers may vary depending on national immigration and labour market institutions.

   Research questions:
   - How do inter-industry labour-flow networks differ between immigrant and native-born workers within the same country?
   - How do these differences vary across EU countries, and are they associated with immigration policies, language barriers, or the recognition of foreign qualifications?
4. National administrative datasets or the European Union Labour Force Survey. Policymakers responsible for labour market integration could use these findings to identify barriers to immigrants' skill mobility and design more effective employment, training, and qualification-recognition policies.

Neffke, F. M., Otto, A., & Weyh, A. (2017). Inter-industry labor flows. *Journal of Economic Behavior & Organization*, *142*, 275-292.

Elekes, Z., Tóth, G., & Eriksson, R. (2024). Regional resilience and the network structure of inter-industry labour flows. Regional Studies, 58(12), 2307–2321. https://doi.org/10.1080/00343404.2024.2355993

Hane-Weijman, E., Eriksson, R. H., & Rigby, D. (2022). How do occupational relatedness and complexity condition employment dynamics in periods of growth and recession? Regional Studies, 56(7), 1176–1189. https://doi.org/10.1080/00343404.2021.1984420